# Module 6: Cerebras — Student Packet

## Start here — Cerebras

**Read before class (5–8 minutes):** the three facts and three terms below. The full blog, company summary, filing, and detailed role pages are optional depth unless a specific passage is assigned.

**In class:** review the worked example, explain the decision in your own words, then read only your assigned role in the student packet below. Four leads make decisions; the Account Manager integrates them. The packet works without SkillSimm access.

### Three essential facts

- The packet reports 86% of revenue from two related customers.
- R&D was $243.3 million, about 48% of revenue.
- Capacity delivery commitments must be matched to supply and infrastructure the company can actually obtain.

### Three terms

- Switching cost: what a customer gives up or must do to change suppliers.
- Ecosystem: tools, partners, and skills surrounding a product.
- Differentiation: a valuable reason to choose one offering over alternatives.

### Worked example — discuss before opening the simulation

Illustrative startup: a tool saves five minutes per task but takes a team two days to learn. List the customer's benefits and switching costs before claiming the new tool is better.

**Readiness check:** What customer outcome improves, and what must the customer give up to switch? Ask a teammate to explain the task back before starting.

## Choose your role

Read the primer above and only your assigned role below. The detailed role pages and full company summary are optional references. Record the decision text, evidence, trade-off, and what would change your mind.

## Financial Lead

### Decision

**Revenue grew 76%, margin fell to 39.0%, and the operating loss widened to $145.9 million. What do you do with the money?**

### Your four choices — pick one

- **(A) Fix the margin on the growing line first.** Cloud and services grew 94% at about 29.9% gross margin against hardware's 42.9% — growth is arriving in the line that keeps least, and that is why total margin fell to 39.0%.
- **(B) We just earned $237.8 million of net income.** Fund growth out of the profit and avoid dilution — the business is already paying for itself.
- **(C) Raise and spend on capacity.** The prospectus says the cloud business needs significant data centre capacity and capital, and we cannot deliver the OpenAI tranches without it.
- **(D) Protect R&D at 48% of revenue** whatever else happens — the speed advantage is the only reason any of these customers called us.

**Need more evidence?** Detailed role reference.

## Marketing Lead

**Decision**

**86% of revenue came from two related customers. Where does the go-to-market effort go?**

**Your four choices — pick one**

- **(A)** Into **landing more flagship names** like the OpenAI agreement. A reference customer that everyone respects is what makes a procurement committee brave.
- **(B)** Into the **channels buyers already use** — AWS and the marketplaces and gateways — because being easy to try shrinks the switch, and many small customers is the only real cure for 86% of revenue sitting with two related parties.
- **(C)** Into **deepening the customers we already have.** Our top ten customers grew their spend about 80% within 12 months — expanding them is far cheaper than winning new ones.
- **(D)** Into the **benchmark story** — publish 15x inference and 10x training results everywhere, because speed is the only thing we have that nobody can copy this year.

**Need more evidence?** Detailed role reference.

## Operation Lead

**Decision**

**You have promised dated capacity on inputs nobody has promised you. Where does the operational effort go?**

**Your four choices — pick one**

- **(A) Convert the supply chain from purchase orders to committed capacity** — wafers, sole-source components, data-centre space — because we have promised dated capacity tranches on inputs nobody has promised us.
- **(B) Keep the flexible model.** Purchase orders without volume commitments are what let a company our size scale up and down with demand.
- **(C)** Put the effort into **manufacturing yield and throughput at Sunnyvale**, where we do final packaging, assembly and test ourselves — it is the part of the chain we actually own.
- **(D)** Put the effort into the **data-centre build** itself. Leased space we do not control is the step between a signed contract and a delivered tranche.

**Need more evidence?** Detailed role reference.

## Tech Lead

**Decision**

**R&D is $243.3 million — 48% of revenue — and the hardware is already 15× faster. Where does the engineering go?**

**Your four choices — pick one**

- **(A)** Into the **next generation of the WSE.** The lead is the whole story, and the incumbent ships a new architecture every year.
- **(B)** Into **making the switch invisible** — unchanged PyTorch, industry-standard APIs, the toolchains and gateways customers already use. We are already 15× faster; what stops adoption is everything they would have to throw away.
- **(C)** Into **custom benchmarks and reference designs** that show the advantage as clearly as possible. If the numbers are unarguable, the market has to come to us.
- **(D)** Into the **software platform for the cloud business** — orchestration, multi-tenancy and utilisation. It is the lower-margin line and engineering is how its cost curve changes.

**Need more evidence?** Detailed role reference.

## Account Manager

Hear the four leads; rank Money, Delivery, Concentration, Engineering from 1–4 and distribute 100 priority points in blocks of 10. Defend the first priority with evidence, describe one trade-off, and name a condition that would change your ranking. There is no required ranking independent of your reasoning.

## Save before leaving

**Decision → evidence and source → trade-off → change after discussion → concept and venture application.** Keep your own copy for the reflection.

## Venture workshop

Compare your venture with two alternatives, including the current way customers solve the problem. List evidence, switching costs, and one test of your claimed advantage. **Output:** A competitor comparison table for Final Section C.

## Submission

Submit your individual reflection in the existing HuskyCT assignment at its current deadline. Use the five headings in the reflection guide; from October 20 onward, aim for 300–500 words. The workshop is project preparation, not a separate new graded submission.